Michelle Morrison
Chief Financial Officer

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MEMORANDUM

Date: May 27, 2025
To: Portland Public Schools Board of Education
From: Michelle Morrison, Chief Financial Officer
CC: Superintendent Kimberlee Armstrong
Subject: 2025-26 Adopted Budget

BACKGROUND

On June 10, 2025, the Board (acting as the Budget Committee) is scheduled to vote to adopt a budget for Portland Public Schools for the 2025-26 fiscal year. The recommended resolution is attached. The Summary of Adjustments to 2025-26 Approved Budget reflects no planned changes.

Please note that the resolution sets the upper limits of appropriations for spending and that there will be modifications to activities throughout the year. The information has been presented as a guideline based on the most current information available regarding resources and requirements.

CHANGES FROM THE PROPOSED BUDGET

The Adopted Budget is unchanged from the Proposed and Approved Budget; all funds have the same resources and requirements as presented in the Proposed Budget.

General Fund

No changes have been made from the Proposed and Approved Budget.

Special Revenue Funds

No changes have been made from the Proposed and Approved Budget.

Debt Service Funds
No changes have been made from the Proposed and Approved Budget.

Capital Projects Funds
No changes have been made from the Proposed and Approved Budget.

Internal Service Funds
No changes have been made from the Proposed and Approved Budget.

RELATED POLICIES / BEST PRACTICES

ORS 294.456 requires the governing body to appropriate spending authority before staff can spend any resources in a fiscal year. The same statute stipulates for governments organized by function, the governing body must appropriate resources by fund and function, as presented in the attached resolution.

Furthermore, per budget law (ORS 294.456), the governing body can make minor changes to the approved budget after the TSCC hearing but before adoption within certain parameters.

ANALYSIS OF SITUATION

The Board may choose to adopt the budget as presented, adopt it with revisions, or not adopt it. However, the current spending authority ends on June 30, 2025. If a budget is not adopted by June 30, 2025, the District would need to cease operations, not pay its employees and not meet any other financial obligations, until the Board adopts a budget.

ORS 294.100 indicates that officials who authorize spending without an adopted budget on or after July 1 (of the new fiscal year), can be held personally liable for repayment of monies spent. Nonetheless, after the Board adopts the budget, Oregon Local Budget Law, ORS 294.471, allows budget changes after adoption under prescribed guidelines.

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FISCAL IMPACT

No further impacts beyond those identified in section, “Analysis of Situation.”

TIMELINE FOR IMPLEMENTATION / EVALUATION

If adopted, the appropriations will be uploaded into the District’s financial system on or before July 1, 2025.

BOARD OPTIONS WITH ANALYSIS

No further analysis beyond section III, “Analysis of Situation.”

STAFF RECOMMENDATION

Staff recommends the passage of the board resolution to adopt the 2025-26 budget, make appropriations, and impose taxes as presented in the attached resolution.

ATTACHMENTS

A. Summary of Adjustments to 2025-26 Approved Budget

B. 2025-26 Adopted Budget Resolution